Brazil Macro Monthly

Stronger BRL does not prevent inflation to rise

Highlights

- The US began the monetary tightening process and signaled more aggressive hikes as inflation worsened with the war. Meanwhile, the risk of recession increases;
- Higher-than-expected current inflation and the effects of the war in Ukraine lead us to raise our IPCA projections to 7.0% in 2022 (6.2% before) and to 4.0% in 2023 (3.8% before);
- We still expect a flattish 2022 GDP, although assigning an upward bias. For 2023 we forecast 1.2% growth, considering the dissipation of shocks caused by Covid and the war in Ukraine;
- The recent FX appreciation trend is backed by fundamentals and may continue. But there are risks ahead. We cut our forecast to R$5.00 at the end of this year (from R$5.20) and kept our 2023 forecast at R$5.30;
- Higher inflation leads to a better primary balance and a drop in public debt in the short term. However, new expenditures and tax breaks bring medium term risks;
- We keep our forecast that the Selic will peak at 12.75%, as signaled by the BCB. We see some room for a gradual easing cycle starting in 2023 Q1.

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XP Forecasts

	2018	2019	2020	2021 (F)	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	0.0	1.2
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	10.6	10.0
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	7.0	4.0
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	12.8	8.3
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.0	5.3
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	0.2	0.1
Gross debt (% GDP)	75.3	74.3	88.8	80.3	79.9	82.5
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	66.3	44.4
Exports (USD Bn)	231.9	221.1	209.2	280.8	324.4	303.8
Imports (USD Bn)	185.3	185.9	158.8	219.4	258.1	259.4
Current Account (USD Bn)	-51.5	-65.0	-24.5	-28.1	-19.6	-38.9
Current Account (% GDP)	-2.7	-3.5	-1.7	-1.7	-1.1	-2.1
FDI (USD Bn)	78.2	69.2	44.7	46.4	55.0	65.0
FDI (% GDP)	4.1	3.7	2.9	2.9	3.1	3.6
Nominal GDP (USD Tri)	1.8	1.8	1.4	1.6	1.8	1.9
Nominal GDP (BRL Tri)	7.0	7.4	7.5	8.7	9.4	9.9

Source: IBGE, BCB, Bloomberg, XP.

Foreword: How strong is the supply shock?

The world is still trying to understand the size of the supply shock that the war in Ukraine represents. The high volatility of commodity prices – especially oil – and the back-and-forth of ceasefire negotiations make it difficult to assess how much and for how long global inflation will be under pressure.

This uncertainty makes it difficult for central banks to fight inflation without causing unnecessary jolts in the economy. In any case, as monetary policy is still expansionary in most countries, rates will have to go up regardless of the war unfolding.

The Central Bank of Brazil is an exception, as it is already in the contractionary field and does not necessarily need to react (additionally) to the shock. This is the path that the formal communication of the BCB seems to have taken, with President Campos openly saying that the Selic rate at 12.75% is enough to bring inflation to the target on the "relevant horizon".

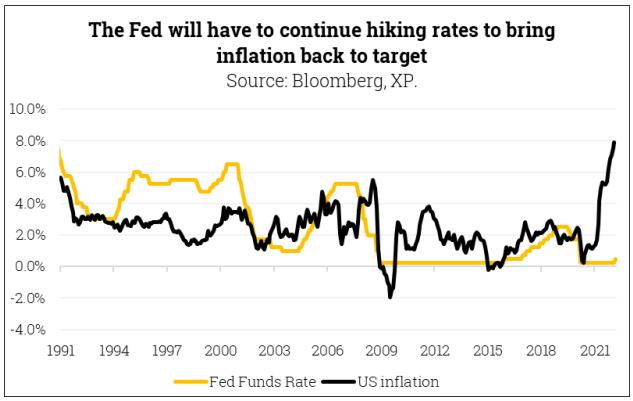
We believe the BCB is saying that they would accept a higher level of inflation for a while, postponing the convergence to the target. Thus, we raised our IPCA forecast this year from 6.2% to 7.0%, and from 3.8% to 4.2% for 2023.

On the other fronts, we made only minor adjustments to our forecasts. We continue to see near-zero growth this year, although data from this early start may suggest some positive bias. In public accounts, the boost in tax collection generated by commodities is good news but is opening room for a dangerous list of expansionist projects in Congress.

In our view, a better use of this increase in revenues – which tends to be temporary – would reduce the burden of high public debt on the economy.

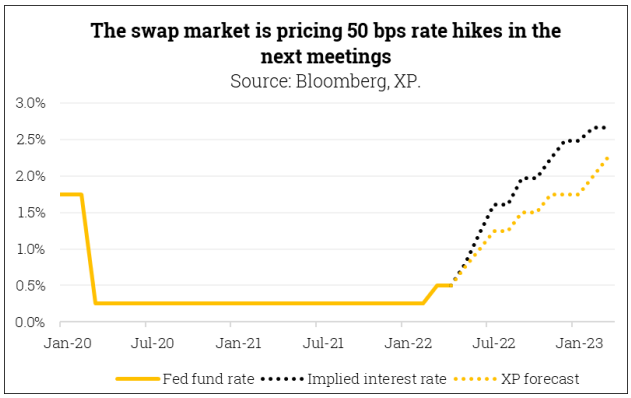
Global Backdrop: US begins monetary tightening, while Russia-Ukraine conflict remains a major risk factor

The war has made commodity prices even more volatile. The developments of the geopolitical tension continue to directly impact commodity prices, given that Russia and Ukraine are relevant global suppliers of energy and other basic materials. Brent oil prices have fluctuated around USD 100 and USD 130 over the past month. Nevertheless, if there is a ceasefire in the conflict, we expect Brent prices to drop quickly to $ 90 per barrel. **In addition, the announcement that the US will increase oil production should ease reliance on Russia and help contain prices.**



Inflation continued increasing in the United States, reaching 7.9% y/y in February. We still believe that inflation is mostly transitory. We now expect the zenith to be reached in April, ending 2022 at 5.1% and converging to the 2% target by 2023. Our expectation on inflation assumes that there will be a ceasefire between Russia and Ukraine in the coming weeks and the world economy returning to normality post-Covid.

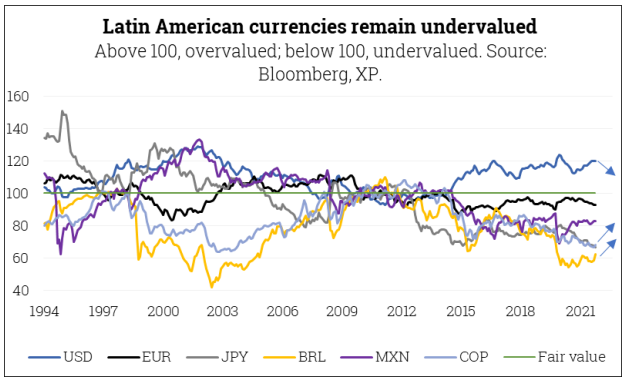
The Fed has started the monetary tightening cycle and turned more hawkish. The Fed hiked 25 bps in March, taking the policy rate to 0.5%, in line with our expectations. And it signaled more aggressive rate hikes, along with the start of the balance sheet reduction process at the next meeting. The US yield curve is already pricing a recession in coming quarters.



Six hikes in 2022 and two in 2023. We have revised our previous expectations and now believe that the Fed will continue hiking rates by 25 bps at the coming meetings, reaching 1.75% at the end of 2022, and the terminal rate of 2.25% at the beginning of 2023, after which rates will remain unchanged. Market is currently pricing 50 bps hikes going forward. Uncertainty regarding the war in Ukraine and the normalization of global supply chains pose upside risks to our forecasts.

China has started to show signs of slowdown. The Chinese stock market dropped considerably this month due to the announcement of new lockdown measures in many cities. Moreover, the fact that China has not made clear which side they are on in the Ukraine-Russia war has led to further uncertainty. Signs of weakness started to show in economic indicators, such as the sub-50 March PMI print. We also expect China to materially increase monetary and fiscal stimulus throughout the year.

Our models continue to point to an overvalued USD relative to Latam currencies. Latin American currencies continued to show a strong resilience and remain undervalued relative to fundamentals. We expect 2022 to be a positive year for the exchange rate for the region. Regarding major economies, our models are consistent with the Euro trading at 1.2 and the Yuan at 6.1.



Brazil: Stronger BRL does not prevent inflation to rise

Inflation – We raised our forecast to 7.0% in 2022 and 4.3% in 2023

We revised the 2022 IPCA forecast from 6.2% to 7.0%. The increase results from higher-than-expected current inflation and a worse balance of risks ahead.

Food and fuel prices boosted current inflation. The February IPCA and the March mid-month IPCA-15 combined stood 0.2pp above our forecast. High-frequency price surveys suggest no relief in the short term.

Higher gasoline pass-through from refinery to gas stations. We continue to believe that Petrobras will not announce any additional increase in refinery prices. But the pass-through from the refinery to the pump turned out to be higher than expected – around 50%, against historical average of 35%. Thus, we raised our forecast for fuels in the IPCA from 7% to 9%.

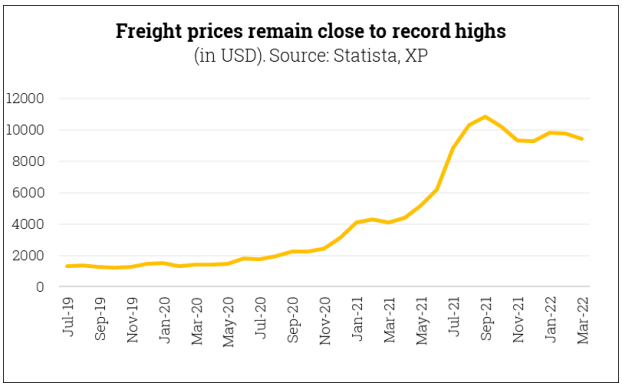
War in Ukraine keeps foodstuff prices under pressure. Higher fertilizer and grain prices add more pressure than initially estimated on food prices. Fertilizers represent up to 30% of Brazil's agricultural production cost. As a result, we revised our food at home forecast from 8.3% to 9.5% in 2022.

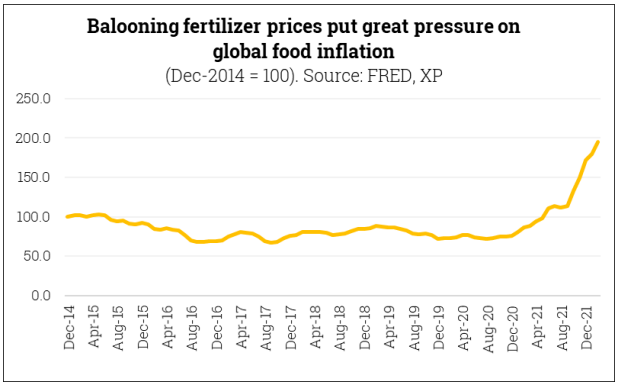
Global inflationary pressure will probably continue ahead. The conflict in Ukraine and fresh outbreaks of Covid in China should intensify problems in global production chains. A study published by the International Monetary Fund[1] highlights that the pandemic and the war raised the cost of maritime transport by 700%, with intense and prolonged inflationary consequences. Thus, we also increased our forecast for industrialized prices, even considering a drop in domestic demand throughout the year.

On the other hand, a more appreciated exchange rate will help to contain inflation for the year. The Real appreciation since the years' beginning and the maintenance of a more appreciated level throughout the year partially mitigated the revisions in the projections for food and industrialized goods.

And electricity should have more significant deflation in 2022. We changed our year-end electricity tariff flag forecast from yellow to green, which reduces the electricity forecast from -8.3% to -11.9% - trimming 0.15 p.p. of the IPCA final number. The recovery of reservoir levels and shutdown of thermoelectric plants in recent months significantly improved the hydroelectric situation for the year.

Higher inflation in 2022 also means higher inflation in 2023 due to inertia and expectations. We revised our forecast from 3.8% to 4.0%. The main risk for 2023 is a more persistent de-anchoring of inflation expectations. In a recent report, we showed that if medium-term expectations keep rising, inflation dynamics become more challenging.





	Weight	2022 forecast	
		Before	Now
IPCA inflation	**100**	**6.2**	**7.0**
Regulated Prices	27.0	5.3	6.2
Market-set prices	73.0	6.6	7.3
Food at home	15.1	8.3	9.5
Services	34.3	6.2	6.2
Industrials	23.6	6.0	7.3

[1] Access in: https://blogs.imf.org/2022/03/28/how-soaring-shipping-costs-raise-prices-around-the-world/

Economic Activity – Outlook remains cloudy

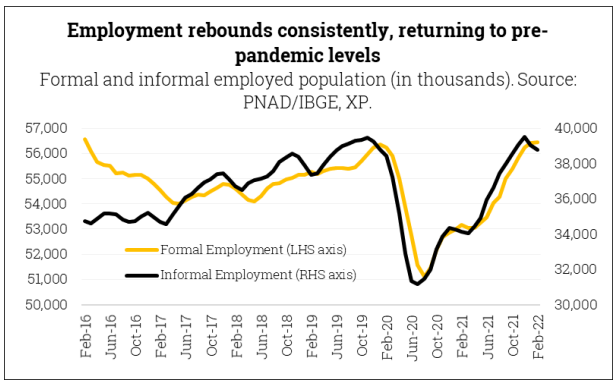
Brazil's GDP is expected to show moderate growth in Q122. The main activity indicators performed poorly in January, notably the industrial sector, leading the IBC-Br (monthly GDP proxy calculated by the Central Bank) to decline around 1% compared to December. In February and March, nonetheless, there are signs of recovery. The normalization of service segments as a result of the economic reopening, the solid rebound of employment, and the expansion of sectors less sensitive to the economic cycle - such as agriculture and extractive industries - support the expectation that domestic activity expanded in early 2022. We estimate that total GDP grew by 0.4% QoQ in Q122 (0.9% YoY).

The war in Ukraine exerts a net negative impact on the Brazilian economy, despite the additional jump in international commodity prices boosting exporting sectors. The military conflict in Eastern Europe worsens the economic sentiment (higher uncertainty and falling business and consumer confidence), intensifies supply chain bottlenecks, and puts further pressure on production and logistical costs. These factors will likely lead to low global economic growth, persistence of red-hot inflation and more intense monetary tightening in many regions. Many exporting sectors in Brazil benefit from the current situation, on the heels of the even higher levels of commodity prices. In addition to the positive contribution to the country's trade balance and exchange rate, we should observe positive indirect effects on other local activities ("income spillover"). That said, we believe that the war in Ukraine negatively affects the Brazilian economy.

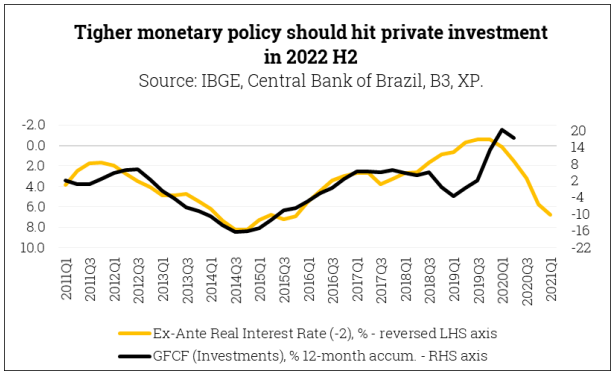
We continue to anticipate a flattish 2022 GDP... As we have argued in the last monthly reports, domestic economic activity will likely weaken over the next few quarters. Monetary policy tightening will impact demand mainly from the second half of this year, when we should see negative growth rates for total GDP, and the downward trajectory of real wages (given high inflation) should not be reversed in the short term. An uncertain global scenario, as discussed above, makes up the headwinds for the Brazilian economy this year.

... but we assign an upward bias to that forecast. The more favorable activity data registered at the end of 2021 (which leads to a higher statistical carry-over effect), recently announced government stimulus measures (providing some support for household consumption in the coming months) and a stronger-than-expected recovery of the employed population impart a bullish bias to the GDP growth expectation for 2022. Regarding the latter, we draw attention to the consistent decline in the unemployment rate in recent months. We expect the indicator to reach 10.6% at the end of 2022 and 10.0% at the end of 2023 (below previous estimates of 11.0% and 10.4%, respectively).

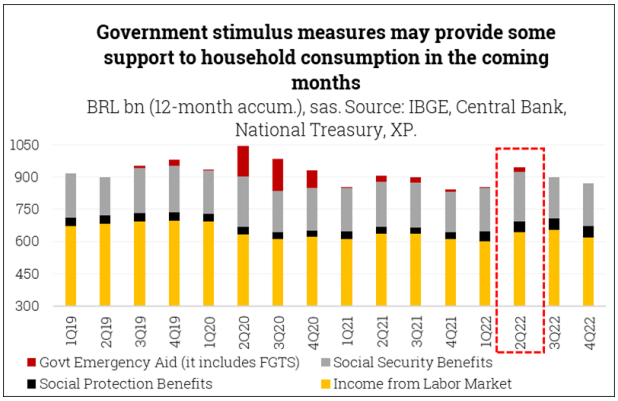
Last but not least, we continue to forecast a 1.2% expansion for 2023 GDP growth, although acknowledging downside risks. Considering the dissipation of the shocks caused by the pandemic and the war in Ukraine, we believe Brazil should grow next year, albeit moderately. We reinforce this scenario assumes, as a crucial hypothesis, the maintenance of the current fiscal framework aiming at long-term public debt sustainability. Nevertheless, the outlook of even more pressured inflation and high interest rates for longer (see section on Monetary Policy) implies a downward bias to the expectation of 1.2% growth for 2023 GDP.



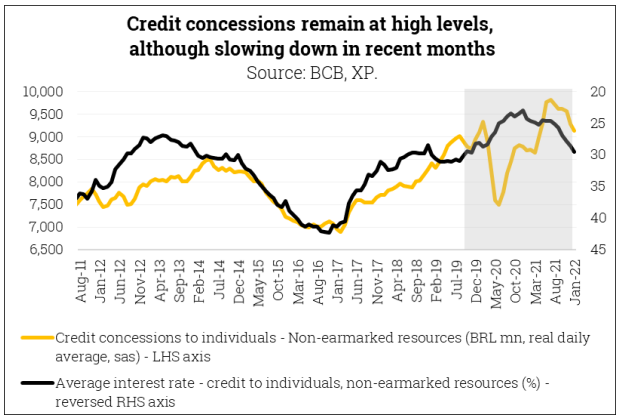
Employment rebounds consistently, returning to pre-pandemic levels
Formal and informal employed population (in thousands). Source: PNAD/IBGE, XP.



Tigher monetary policy should hit private investment in 2022 H2
Source: IBGE, Central Bank of Brazil, B3, XP.



Government stimulus measures may provide some support to household consumption in the coming months
BRL bn (12-month accum.), sas. Source: IBGE, Central Bank, National Treasury, XP.



Credit concessions remain at high levels, although slowing down in recent months
Source: BCB, XP.

Exchange rate – Surprises lead to short team adjustment, but long-term trend remains

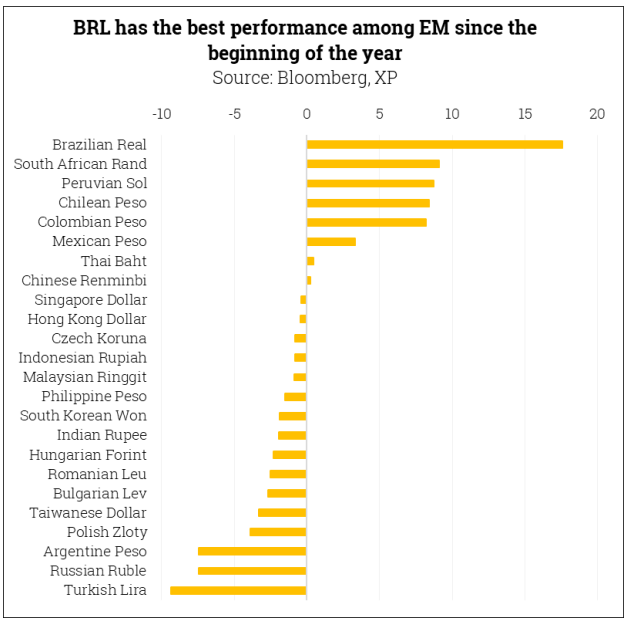
The BRL performance remains solid, 15% gain year-to-date. Among the drivers of this positive trend are: i) rising commodity prices, ii) Latin America becoming more attractive among EMs due to its distance from the Ukrainian conflict and iii) the fact that Brazil's central bank has started to raise interest rates earlier and at a faster pace than others.

The trend is supported by fundamentals, as we have argued, and could continue in the short term. In a recent report, we showed that current fundamentals are consistent with an exchange rate of around 4.5 reais per dollar.

But there are risks ahead that tend to partially revert the movement. If the war moves towards a reasonable solution, commodity prices will probably stabilize or decline. Likewise, the reopening of Eastern European economies tends to generate a reallocation of resources currently in Latin America. Moreover, monetary policy normalization in developed and emerging markets should marginally reduce the importance of the interest rate differentials. Finally, electoral uncertainties have historically raised risky assets premium.

Thus, we revised our forecast, incorporating a stronger path for the BRL in the short term, **reducing our forecast for the exchange rate to R$5.00 at the end of this year (from R$5.20). But we maintained our 2023 forecast at R$5.30**.

We have not made any significant changes in the estimates for the external accounts since last month. It is worth mentioning that February results were not released due to a civil servant strike at the BCB.

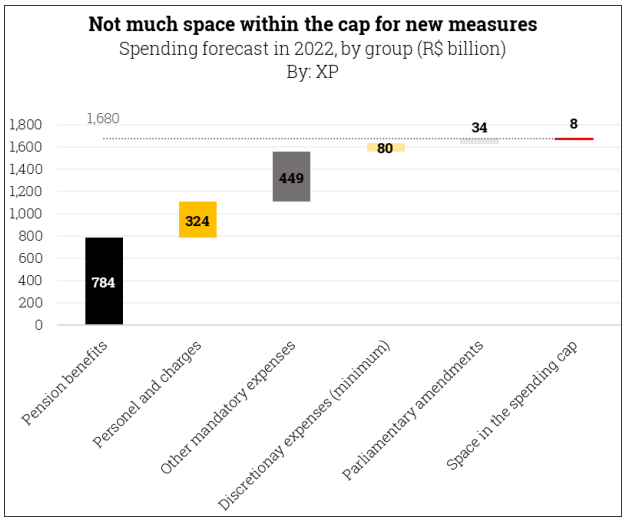


Fiscal – Positive in the short term, (increasing) risks in the medium term

February´s fiscal results (revenues and expenses) were in line with expectations, as the short-term trend remains positive. We keep our primary sector result estimate at BRL 18 billion (0.2% of GDP), comprised of a deficit of BRL 36.1 billion for the Central Government and a BRL 54 billion surplus (0.6% of GDP) for regional governments. Our scenario incorporates the recently announced tax breaks and exemptions - in IPI rates and PIS/Cofins for diesel and gas.

But it is not time to relax. In the wake of positive short-term results, the government announced tax breaks on industrial goods and fuel. Further proposals are under discussion or were recently approved by Congress. Individually, they don't have relevant fiscal impact, but taken together they represent a risk for long-term debt sustainability.

On the expenditure side, the main risk lies in a possible readjustment to public servants' wages. A linear increase of 5% starting in July, for all civil servants, would have an impact of R$8 billion this year and R$16.3 billion for next year. Adding to other expenses, some already approved in Congress, the total impact would be BRL 22.7 billion in 2022 and BRL 28 billion in 2023.

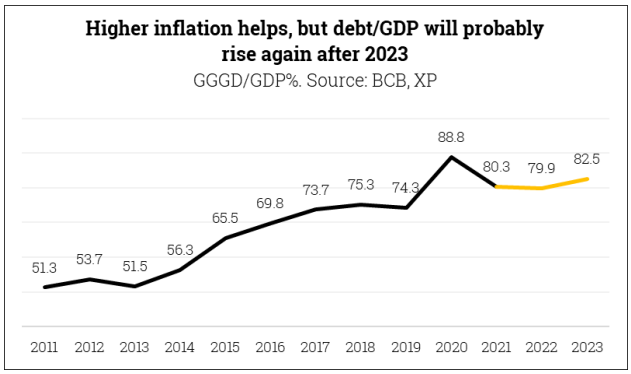


Additional expenses, however, have limited room within the spending cap. We estimate that the government has (theoretically) some room to maneuver the 2021 budget, but only up to approximately BRL 8 billion. This is less than half of what would be necessary to accommodate all the measures highlighted above.

Debt-to-GDP ratio to fall again this year. Due to the commodity price shock, domestic inflation is expected to rise significantly this year, especially at the wholesale level. This affects both revenues, which grows and sustains a 'positive' primary result and tends to generate more favorable dynamics for debt/GDP this year and next.

Heavy debt service is an additional risk factor due to rising interest rates. The Central Bank has signaled that it may end the tightening cycle at 12.75%, in line with our estimates. However, any rebounds in inflation may generate pressure for further increases in the Selic rate, which also affects the cost of public debt.

The 2023 budget will start to be discussed in April. Up until April 15th, the government should send Congress the Draft Budgetary Guidelines Legislation (PLDO) containing, among others, the primary balance targets for the coming three years. Our estimate points to a deficit of R$40 billion for 2023 and a high probability of meeting the spending cap, given that inflation should drive the limit to something close to R$117 billion next year.



Monetary Policy – Almost done

We argued last month that the Brazilian Central Bank would read the war in Ukraine as a supply shock and would accept (even) higher inflation for some time.

Recent communication from the monetary authority suggests that this view is correct. The BCB reinforced that interest rates are already at a "significantly restrictive" level and added that the Selic rate at 12.75% "is sufficient for inflation convergence to levels around the target over the relevant horizon".

Thus, we keep our forecast that the Selic will peak at 12.75%, now with a final 100-bps hike in May (previously, we had 75-bps in May and 25-bps in June).

As the monetary tightening takes effect, we believe the BCB will find room to start a gradual easing cycle in Q12023.

Naturally, if the commodity shock proves to be more intense and long-lasting than assumed by our baseline scenario; or if current inflation remains elevated until June, the BCB may choose to raise the Selic rate beyond 12.75%.

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